



► Research Brief

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Work Transformed: The Promise and Peril of Artificial Intelligence

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Key messages

- **The effects of AI on employment and inequality will hinge on two key factors:** the degree to which jobs are exposed to AI technologies, and the extent to which AI complements—rather than replaces—human skills. Investments in complementary skills will be critical to maximize benefits and minimize harm.
- **The global AI divide threatens to leave developing countries behind,** as they may struggle to keep pace with rapid AI adoption. Establishing international AI initiatives to share knowledge, build capacity, and support workers in these countries is essential to ensure inclusive technological progress.
- **Women's jobs are disproportionately affected by AI,** due to their overrepresentation in clerical and administrative roles. Promoting equitable access to reskilling opportunities and encouraging women to enter AI-augmenting occupations is vital to avoid deepening existing gender gaps.
- **AI has the potential to improve workplace safety** by removing workers from hazardous environments, automating high-risk tasks, and enabling predictive risk monitoring systems.
- **The use of AI in workplace decision-making raises ethical concerns,** particularly around discrimination and bias. Ensuring transparency and fairness in AI systems is essential to protect workers' rights and promote trust.

► 1. Introduction

This brief synthesizes the current global research conducted by the International Labour Organisation (ILO), along with other prominent institutions and scholars, on the effects of Artificial Intelligence (AI) on employment and

job opportunities worldwide. It highlights the primary challenges and potential prospects associated with AI's integration into the workforce. The brief is structured around three main points: first, it explores the significant opportunities and risks that AI may present for employment, including potential job creation in new sectors and the risk of job displacement in traditional industries. Second, it examines how AI is reshaping job dynamics—highlighting changes in occupations, tasks,

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skills development, and worker perceptions. Third, it explores the broader implications of AI for workers' lives, including its potential impact on income distribution, labour right, and occupational safety and health. Each chapter includes a policy box, and a final summary brings together key insights and suggests possible policy actions to address the challenges and leverage the opportunities AI presents.

► 2. Jobs in the Age of AI: Opportunities and Risks

The integration of AI across various sectors, including healthcare, finance, and education, has garnered significant attention in recent years due to its substantial potential impact on jobs – both positive and negative. These benefits include increased productivity and efficiency, enhanced decision-making capabilities, and the potential for innovation. However, alongside these benefits, AI also presents considerable risks, particularly in the form of job displacement, which could exacerbate inequality and lead to labour market polarization.

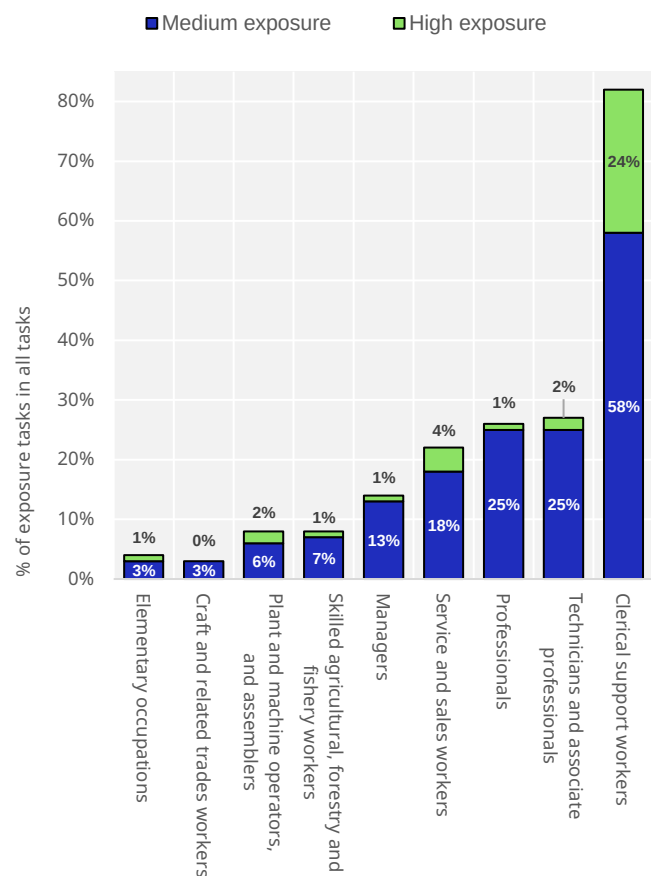
The outcome of AI integration will largely depend on the levels of job automation and augmentation that occur. To understand this, it is essential to distinguish between jobs that are highly susceptible to full or partial automation and those that are not. Jobs where most tasks can be easily automated by machines or computers are likely to experience displacement, whereas jobs where some tasks can be automated, but others cannot, are more likely to lead to job augmentation. In these cases, technology can enhance the work of humans, making it easier and more efficient, while still requiring human input for tasks that are harder to automate.

According to ILO analysis, the potential benefits of augmentation outweigh the risks of automation (Gmyrek et al., 2023); however, this is contingent upon workers having the necessary skills to adapt to and benefit from these technological advancements. If workers lack these skills or if the necessary infrastructure is not in place, the expansion of AI may exacerbate inequality, as those with the means to acquire new skills may thrive while others are left behind (Berg et al., 2024).

The impact of AI on employment varies widely across countries depending on income levels and occupational

structures. According to an ILO study, an estimated 2.3% of jobs globally have high automation potential. However, this figure masks stark disparities: in low-income countries, just 0.4% of the workforce is at risk, compared to 5.1% in high-income countries (Gmyrek et al., 2023). Clerical support workers are especially vulnerable, with 24% of their tasks highly exposed and 58% moderately exposed to automation. In contrast, most occupational groups have relatively low automation susceptibility, with only 1–4% of tasks highly exposed and fewer than 25% moderately exposed (Gmyrek et al., 2023) as seen in **Figure 1** below.

► **Figure 1. Tasks with medium and high exposure to generative AI by occupational category**



Source: Gmyrek et al., 2023.

To date, the effect of AI on overall employment levels remains limited. Adoption has been largely concentrated in large firms still in the experimental phase of implementation. Rather than resorting to layoffs, companies are adjusting through hiring freezes and voluntary attrition. Although AI could potentially automate up to 58% of tasks—raising concerns over wage suppression and job losses—it is currently more likely to

transform jobs than eliminate them, primarily by altering the skills required. Employers increasingly cite a need for a combination of AI-related and human-centric skills, with 40% identifying a shortage of AI competencies as a key barrier to implementation (OECD, 2023).

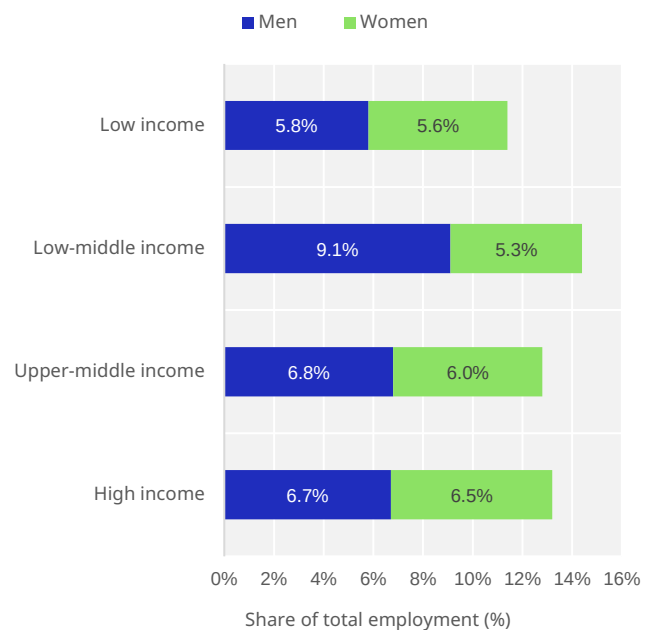
Historical evidence from past technological shifts supports an optimistic outlook. Contrary to longstanding fears of mass technological unemployment, innovations—particularly in information technology—have generally shifted labour demand rather than reducing it. Although specific jobs have been lost, overall employment in technology-intensive roles has grown. Technology typically automates specific tasks rather than entire occupations, prompting workers to transition into new roles that require different skills. For instance, while automated teller machines (ATMs) have computerised many routine teller tasks, the number of bank tellers did not decline significantly: instead, their roles evolved to include more customer relationship functions. Occupations reliant on computers—such as in scientific, healthcare, and administrative fields—have seen net job growth, whereas persistent job losses have been mostly confined to manufacturing, offset by employment growth in other sectors (Bessen, 2015).

Similar effects are anticipated with the adoption of AI, particularly through AI augmentation. By enabling individuals to perform their tasks more efficiently, accurately, and creatively, AI augmentation has the potential to deliver widespread productivity gains. According to the ILO study by Gmyrek et al. (2023), approximately 10.4% of jobs in low-income countries and 13.4% in high-income countries could benefit from AI-enhanced performance, suggesting that augmentation may play a critical role in supporting workforce development and economic growth across diverse contexts. However, it is also essential to acknowledge that augmentation can also lead to some displacement, as the automation of specific tasks may reduce the overall demand for labour within certain roles. As a result, some workers may need to transition to other jobs and update their skills (Manyika et al, 2017).

Empirical studies further underscore AI's potential to enhance performance and efficiency. In a controlled experiment, Pengt et al. (2023) found that participants using an AI coding assistant completed tasks 55.8% faster than those in a control group. Similarly, Noy et al. (2023) reported that professionals using ChatGPT completed writing tasks 40% faster and with higher quality output, and

Brynjolfsson et al. (2023) observed that customer support agents using an AI-based assistant experienced an overall 14% improvement in performance. This was increasingly marked for inexperienced and lower-skilled workers, who experienced a 34% productivity increase.

► **Figure 2. Augmentation potential: shares of total employment by country's income level**



Source: Gmyrek et al., 2023.

AI holds the promise of democratizing decision-making processes currently dominated by highly specialized experts. With the aid of AI, middle-skilled workers could take on more complex tasks, thereby closing skill gaps and improving overall productivity and job quality. Instead of replacing human labour, AI can complement and enhance it, narrowing the divide between inexperienced and expert workers. While some roles may be rendered obsolete, new specialties are expected to emerge, continuing a long-standing pattern of technological evolution driving labour market transformation. As AI develops, demand for new products and services will spur the creation of entirely new occupations (Autor, 2024).

AI is also expected to generate new employment needs in areas such as data annotation, engineering, and machine learning modelling. These roles will demand a wide range of skills—from basic digital literacy to advanced STEM qualifications (Berg et al., 2024). Such evolution of the job market is nothing new; many current professions, such as social media management and web design, did not exist a few decades ago. In fact, research by Autor et al. (2022) found that 60% of U.S. jobs in 2018 were in occupations that

did not exist in the 1940s, underscoring the range of possibilities that can emerge from digital advancements.

Ultimately, the impact of AI on work will depend heavily on the policies adopted. While the development of AI should not be hindered, it must not be allowed to shape society unchecked. Proactive measures—such as workforce training, social dialogue, and strong labour protections—are crucial to ensuring a balanced transition. Although AI offers transformative benefits, it also presents challenges related to job security, wage inequality, and ethics (OECD, 2023). To harness AI's full potential while mitigating its risks, deliberate and inclusive governance is needed.

► **Box 1. Policy responses to harness the opportunities and mitigate the risks**

Policy responses
Invest in AI-complementary skills development: Prioritize investment in skills that enhance human collaboration with AI, such as critical thinking, problem-solving, creativity, emotional intelligence, and digital literacy.
Invest in accessible digital infrastructure: strengthen national digital infrastructure—including data centres, cloud computing, and broadband connectivity—to support scalable AI development and deployment.
Promote technology transfer and absorption across the globe: facilitate technology transfer agreements between developed and developing countries.
Establish comprehensive education and training pathways: build an AI-ready workforce by incorporating AI and data science into school, and higher education curricula to ensure the future workforce has the skills required by employers.
Upskilling and reskilling programs for AI usage: develop training programs that focus on helping middle-skilled workers develop the skills needed to work effectively with AI, such as data analysis, problem-solving, and critical thinking.
Regulate AI usage and support occupational integration: develop and enforce clear regulatory frameworks that ensure the ethical, transparent, and accountable use of AI technologies, especially for highly exposed occupations.

► 3. Shifts in job dynamics

3.1 Shifts in occupational dynamics

AI represents a fundamental departure from previous digital technological changes. Unlike earlier waves of automation—which primarily targeted routine, non-cognitive tasks—AI significantly broadens the scope of what can be automated, including non-routine cognitive work traditionally performed by white-collar professionals. Moreover, AI is a general-purpose technology, meaning it has the potential to affect nearly every sector and occupation (OECD, 2023). This shift is occurring in a highly globalized economy, where technological changes extend beyond industrial settings. Nonetheless, the average worker—particularly in developed countries—has only recently begun to fully grasp the potential implications of AI (Gmyrek et al., 2023).

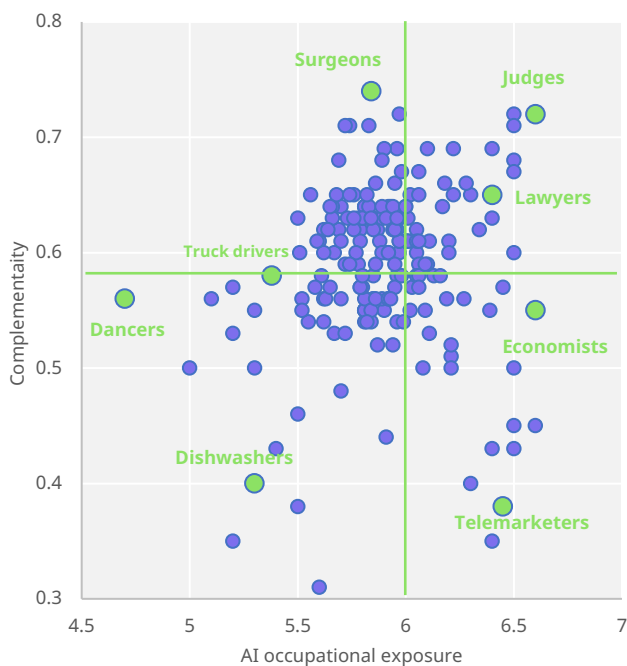
AI has a differentiated impact across occupations. AI's effect on employment will depend heavily on two key factors: (1) the degree of exposure a job has to AI technologies and (2) the level of complementarity between AI capabilities and human skills. These factors determine whether AI will displace, augment, or merely assist human workers (Berg et al., 2024). Cazzaniga et al. (2024) examine how occupations are affected by AI through the two dimensions, exposure and complementarity. Jobs with high exposure and low complementarity face a higher risk of task automation, potentially reducing employment, lowering wages, and increasing displacement. Conversely, high exposure combined with high complementarity suggests that AI could boost productivity and wages—but only for workers equipped with the necessary AI-related skills. In roles with low exposure, complementarity is less relevant, as AI is unlikely to impact the job's essential functions.

A more detailed task-based approach provides a finer level of analysis by recognizing that most jobs consist of multiple tasks, each with varying degrees of susceptibility to automation. The risk of job disruption depends not only on AI's ability to perform a specific task, but also on the importance of that task within the overall job function (Gmyrek et al., 2025). For instance, if a task that is easily automated forms a core part of the role, the entire occupation may be more exposed to disruption.

The degree to which occupations are affected by AI also varies by region, based on workers' adaptability and the

infrastructure available for AI deployment. In Latin America, jobs more exposed to generative AI (GenAI) tend to be urban, require higher education, and are held by younger, higher-income individuals in formal sectors. Fields such as finance, insurance, and public administration face heightened automation risks (Gmyrek et al., 2024). Moreover, evidence from Brazil indicates that college-educated and younger workers are more likely to transition to high-AI-complementarity roles, often receiving a wage premium. In contrast, non-college-educated and older workers are more likely to transition into low-exposure roles, with fewer opportunities and higher risks of wage loss. Adaptability and digital familiarity are critical factors in determining whether workers can successfully move into roles augmented by AI (Cazzaniga et al., 2024).

► **Figure 3. Conceptual diagram of AI exposure (AIOE) and complementarity**



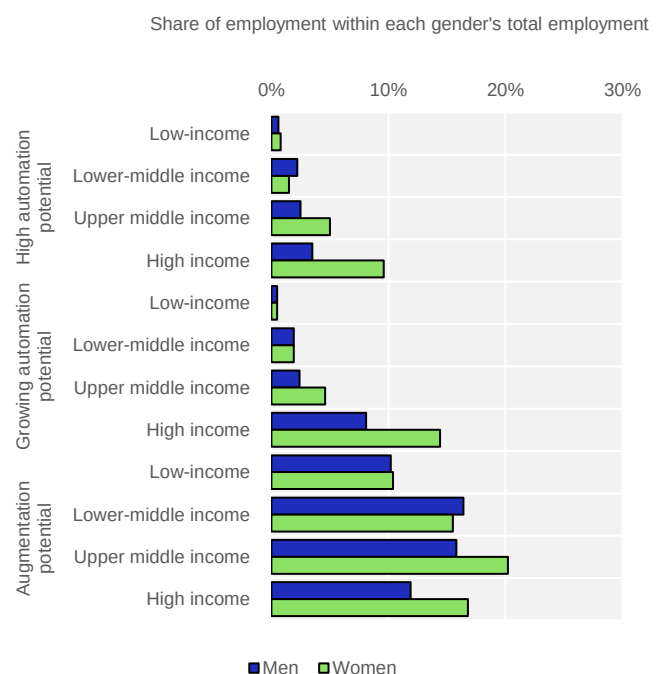
Source: Adapted from Cazzaniga et al. (2024).

AI has a significant gender effect, disproportionately impacting women's employment due to their overrepresentation in clerical and administrative roles, which are particularly vulnerable to automation. A global analysis reveals that 4.7% of jobs held by women are at high risk of being displaced by technology, compared to only 2.4% of jobs held by men. This gender disparity is even more stark in high-income countries, where 9.6% of women's employment is in roles with high automation potential, versus 3.5% for men. However, while women are

more affected by the risks of AI, they also stand to benefit more from its opportunities. Notably, women are more likely to hold jobs with augmentation potential—17.3% globally, compared to 15.7% for men—highlighting the dual reality that while AI poses a significant threat to women's employment, it also offers substantial opportunities for job enhancement and upskilling if effectively leveraged (Gmyrek et al., 2025).

Whether women and other affected groups can truly benefit from the augmentation potential of AI will depend on their ability to access the tools, training, and infrastructure needed to adapt. While AI may enhance certain roles and create new opportunities, reaping these benefits requires digital literacy, access to upskilling programs, and inclusive digital infrastructure. Without targeted investment in education and reskilling—especially for those in lower-income and marginalized communities—there is a risk that the augmentation gap will widen existing inequalities.

► **Figure 4. Automation and augmentation potential by gender and country's income level**



Source: Adapted from Gmyrek et al., 2025.

3.2 Shifts in the skills requirements systems

AI is creating demand for new hybrid skillsets that blend technical, cognitive, and interpersonal abilities.

Recent trends in online learning, particularly among individual learners on platforms such as Coursera, reveal a growing emphasis on acquiring skills relevant to AI and other emerging technologies. The most learned skills include technical skills, such as programming, resource management and operations, and cybersecurity. These areas of focus often serve as foundational building blocks for achieving proficiency in more advanced domains of AI and big data, and they align with the skill sets increasingly demanded by employers, as identified in the *Future of Jobs survey* (Di Battista et al., 2023).

Furthermore, AI is fundamentally disrupting skills systems by accelerating the pace at which knowledge becomes obsolete (WEF, 2024; OECD, 2023). Traditional education structures, rooted in rigid curricula and standardized pathways, are struggling to keep pace. This challenge is particularly acute in vocational and technical education, where institutions often lack the tools and capacity to prepare learners for AI-augmented occupations (Gmyrek et al., 2023). Meanwhile, older and mid-career workers in administrative and clerical roles—those most exposed to displacement—frequently lack access to effective retraining, facing structural barriers related to time, cost, and digital literacy (Gillespie et al., 2025; IMF, 2024). The result is a widening mismatch between what skills are taught and what the labour market demands (Acemoglu and Restrepo, 2022).

At the same time, AI holds the potential to transform education itself—personalizing learning, automating routine assessments, and supporting teachers (WEF, 2024). However, this promise remains largely unmet, particularly in low- and middle-income contexts where many educators are underprepared to use AI tools or adapt their pedagogy (OECD, 2023; Gmyrek et al., 2025). Without deliberate intervention, these divides risk becoming entrenched. Education and training systems must not only embed AI-related content and skills but also ensure that teachers, trainers, and learners are equipped to engage with the technology critically and productively. Strategic alignment between labour market intelligence and education policy is now essential to foster resilient, inclusive, and future-ready learning ecosystems (Autor, 2024).

3.3 Shifts in perceptions

Public attitudes towards AI remain ambivalent: while a global majority recognizes the benefits of AI in productivity and access to services, over half of respondents in KPMG's 2025 global survey report concerns about the opacity of AI systems and the fairness of algorithmic decisions, particularly in employment and public services (Gillespie et al., 2025). Trust gaps are largest in low- and middle-income countries and among workers with lower digital literacy. These disparities risk deepening existing societal divides unless AI deployment is accompanied by transparent governance and inclusive oversight. As the IMF (2024) and ILO (2023) warn, failure to regulate AI's deployment fairly could reinforce power asymmetries, especially in concentrated digital markets and authoritarian settings. The issue is not just how AI is built, but whom it serves, who controls it, and whose voices are heard in shaping its rules.

There is a large gap between awareness and use of GenAI tools. A survey in Poland shows that while over 71.2% of respondents had heard of GenAI technologies, only a minority reported frequent use—50.1% said they "never" used them, and 26% used them "rarely." Moreover, 56.7% believed that GenAI will have little to no impact on their jobs, with 26.5% expecting no impact and 30.2% expecting only a slight impact (Gmyrek et al., 2025). Ensuring equitable access to AI-enhancing tools and training is therefore critical to making technological advancement a force for inclusion rather than exclusion.

Hearing workers' voices is central to any legitimate AI governance model. Yet current practices often bypass social dialogue altogether. Algorithmic tools are deployed in hiring, performance management, and scheduling without consultation or accountability, especially in non-unionized and platform work contexts (Berg et al., 2024). This exclusion fuels mistrust and weakens consent around the use of AI in critical workplace decisions. Moreover, opaque data practices and a lack of appeal mechanisms can amplify perceptions of surveillance and injustice. The ILO (2025) and OECD (2023) both highlight the urgent need to embed human oversight, explainability, and worker participation in AI governance frameworks—particularly where decisions affect job access, retention, and compensation. Trust in AI will not emerge from technology alone—it must be earned through inclusive policymaking, ethical design, and institutional

safeguards that guarantee fairness, transparency, and redress. Worker voice is not a 'nice to have'; it is essential to ensure AI systems align with social values and fundamental rights.

► **Box 2. Policies to address challenges resulting from shifts in job dynamics**

Policy responses
Occupation-tailored actions: given AI's varying impact across occupations, policy responses should be tailored to the specific exposure-complementarity profile of jobs.
Social Protection measures: as AI adoption may lead to job displacement in some occupations, it is important to provide social protection measures.
Occupation-based AI innovation: countries should prioritize development in occupations where AI augments job tasks, this includes training more workers but also creating grants for startups and small businesses.
Data-driven decision making: invest in data collection and analytic tools to help policymakers make data-driven decisions about AI deployment and workforce development.
Upskilling and reskilling for all: invest in programs that develop skills that are less likely to be automated, such as critical thinking, creativity, and problem-solving, while supporting those who are in occupations with augmenting potential to advance their AI-related knowledge.
Empower educators and learners: invest in AI literacy from primary education onward, upskilling teachers in digital pedagogy, and ensuring access to inclusive, lifelong learning entitlements.
Supporting women in AI-augmenting fields: invest in initiatives that support women in AI-related fields, such as scholarships, research grants, and career development training.
Career transition support: establish specific programs to support those who are displaced by AI, such as career counselling, education and training, and financial assistance, while providing incentives to take up jobs in occupations with augmenting potential.
AI development ethics framework: develop and implement AI ethics and bias frameworks that address the potential negative consequences of AI on women and other affected groups, ensuring that AI systems are fair, transparent, and accountable.
Continuous monitoring and evaluation: establish a system to continuously monitor and evaluate the impact of AI on women and other affected groups, identifying areas where policy interventions are needed to address accessibility gaps.

Promote public trust: through co-regulation models and national AI strategies grounded in social dialogue, ethical AI standards, and inclusive oversight bodies involving employers, unions, civil society, and government.

► 4. Socioeconomic implications of AI on the world of work

The impact of AI the world of work is a complex and multifaceted phenomenon, with far-reaching consequences for income distribution, occupational safety and health, and the nature of work itself. On one hand, AI has the potential to exacerbate some of the existing issues such as income and skill disparities across world regions and occupations, however, its effects can also be mitigated if countries are able to reap the benefits of AI and support those who lose their jobs in transitioning. Furthermore, AI and digitalization are also transforming the occupational safety and health (OSH) landscape, offering potential benefits such as improved workplace safety, while also bringing new risks, including ergonomic strain, cognitive overload, and social isolation.

4.1 The AI divide

The impact of AI on income inequality is ambiguous, with scholars arriving at different conclusions. On one hand, some researchers argue that AI poses a significant risk of widening the existing disparities in income and quality of life between high-income and low-income countries. This "AI divide" threatens to leave developing countries, particularly in Africa, behind as they struggle to keep up with the rapid pace of AI adoption (Berg, et al., 2024). Wealthier countries are better positioned to reap the benefits of AI, including increased productivity, while developing countries may be temporarily shielded due to a lack of digital infrastructure, but this could ultimately hinder their future prosperity.

On the other hand, some researchers believe that AI could reduce inequality by revitalizing the middle class and enabling non-elite workers to perform high-stakes decision-making tasks, reducing the monopoly of elite experts (Autor, 2024). Additionally, AI may lower service

costs by reducing reliance on expensive expert labour, potentially reversing inequality trends. So far, a study by the OECD (2024) found no indication that AI has affected wage inequality between occupations between 2014-2018. Instead, the study found some evidence that AI may be associated with lower wage inequality within occupations, but this is due to a selection effect, where low performers who are unable to adapt to AI tools leave their occupations and shift to another one with lower exposure to AI.

A more nuanced view of the impact of AI on income inequality is offered by Cazzaniga et al. (2024), who argue that the impact will depend on the degree of exposure to, and complementarity with, AI and its boost to productivity. They identify three possible scenarios:

- *Low complementarity:* AI is adopted with low complementarity to human labour, leading to significant displacement of labour and a decline in income, especially at the top of the income distribution. Capital income gains lead to increased overall inequality, with total national income increasing by only 10% due to gains in total factor productivity.
- *High complementarity, limited diffusion:* AI strongly complements human labour, especially in high-complementarity occupations, where AI enhances productivity and creates a more balanced interaction between AI and human workers. However, this scenario leads to labour income inequality, as high-income workers benefit from AI complementarity, while capital income and wealth inequality continue to rise due to increased capital returns from AI investments, supporting the findings of Berg et al (2024).
- *High complementarity and widespread diffusion:* AI strongly complements human labour and significantly boosts overall productivity, leading to a surge in output of 16%. While there is still an increase in labour income inequality, overall income levels improve across the board, with low-income workers' total income rising by 2% and high-income workers seeing nearly a 14% increase.

If implemented effectively, AI could potentially reduce income inequalities by creating new job opportunities, improving productivity, and enhancing access to education and training. However, if left unchecked, AI

could also widen income gaps, particularly if those who own and control AI technologies accumulate wealth at the expense of workers who are displaced or marginalized. Ultimately, inequality trajectories will largely depend on how AI complements human labour and whether policies can ensure broad diffusion of AI benefits.

4.2 Labour rights and discrimination

It is crucial to utilize AI in a way that protects and promotes labour rights, enhancing the ability to detect and prevent labour violations, improve working conditions, and foster a culture of transparency and accountability. This can be achieved by leveraging AI-powered tools to monitor and report on labour practices, identify potential risks and hazards, and provide workers with a safe and confidential means of reporting concerns or violation.

It is equally important to control the use of AI to prevent abuses and discrimination, ensuring that algorithms are fair, unbiased, and transparent. This requires careful consideration of the potential risks and biases associated with AI systems, as well as the implementation of safeguards to prevent discrimination, surveillance, or other forms of exploitation.

Furthermore, it is essential to provide workers with a platform to voice their views and concerns, allowing them to participate in the design and implementation of AI systems that affect their livelihoods. By striking a balance between the benefits and risks of AI, and considering the needs and rights of workers, we can create a future of work that is not only more productive and efficient but also more equitable.

4.3 Occupational Safety and Health

The rapid advancement of AI and digitalization is revolutionizing the field of occupational safety and health, transforming the way monitoring and inspections are conducted. Labour inspectors, who play a crucial role in identifying violations, providing guidance, and promoting safe workplaces, are leveraging innovative solutions to enhance their work. One such solution is the Matrix of Intelligence and Risk Assessment (MIRA), developed for the Albanian Labour Inspectorate and Social Services with support from the ILO and funding from the

European Union. MIRA replaces traditional methods with an advanced system that integrates data management and machine learning for risk assessment, significantly improving the accuracy and efficiency of identifying undeclared work and other labour or occupational safety violations (Huibregtse, 2025).

The use of smart tools, robotics, wearable devices, and algorithmic management systems is also improving workplace safety by removing workers from hazardous environments, automating high-risk tasks, and enabling predictive risk monitoring (ILO, 2025). For instance, collaborative robots and drones are being used to perform dangerous activities in various industries, while smart wearables detect fatigue, heat stress, or toxic exposure in real-time. Virtual reality is also enhancing Occupational Safety and Health (OSH) training, offering immersive simulations for hazard recognition and emergency response (ILO, 2025).

However, the introduction of these technologies also brings new risks and challenges. Workers may experience ergonomic strain from exoskeletons, cognitive overload from continuous alerts, and social isolation. Certain groups, such as women and older workers, may be disproportionately affected due to poor device design, while temporary workers may lack adequate protection from AI-driven monitoring systems (ILO, 2025; OECD, 2023).

Furthermore, algorithmic management poses significant challenges to psychosocial well-being and job autonomy. AI systems are increasingly used to track worker behaviour, evaluate performance, and allocate tasks, often leading to intensified workloads and reduced recovery time (ILO, 2025). Workers report higher stress levels and reduced job satisfaction when managed by opaque, automated systems, and many are unaware of how their data is collected or used (Gillespie et al., 2025). The potential for discrimination embedded in algorithmic decision-making raises ethical concerns, and over-reliance on automation can lead to skill degradation and new forms of inequality (IMF, 2024).

To ensure safe and healthy digital transitions, it is essential to adopt a proactive and transparent approach to governance, implementation, and worker participation. This requires more than just equipment upgrades; it demands a comprehensive strategy that prioritizes worker well-being, autonomy, and participation

in the design and deployment of AI and digital technologies.

► Box 3. Policy responses to address the socioeconomic impacts of AI

Policy responses
Establish global AI initiatives: to promote collaboration and coordination among governments, international organizations, and private sector companies and support developing countries
Widespread AI diffusion: support companies in adopting and deploying AI technologies
Algorithmic auditing: regularly audit AI systems to identify and address any biases or inequalities that may be perpetuated.
Worker-centred design: involve workers in the design and development of AI systems to ensure that their needs and concerns are taken into account.
Automate high-risk tasks: invest in AI-powered automation technologies that can take over high-risk tasks and reduce the risk of injury to workers.
Invest in AI-powered predictive risk monitoring: invest in AI technologies that can predict and prevent workplace accidents and injuries, such as machine learning algorithms to analyse data from sensors and other sources to identify potential safety risks.
Invest in advanced data-driven tools to enhance the efficiency and accuracy of labour inspections: Promote the adoption of machine learning systems to better detect high-risk cases and optimize resource allocation.

► 5. Conclusions

The outcome of AI integration into the labour market will largely depend on the extent to which jobs are automated or augmented, as well as on how prepared countries and workers are to harness the benefits of augmentation. Those better equipped with the right skills, institutions, and adaptive policies will be more likely to leverage AI for productivity and inclusion, rather than face displacement and inequality.

In the following section, we conclude by presenting a summary table (Table 1) that highlights the key insights and corresponding policy responses discussed throughout the report. Additional details on these responses can be found in the policy boxes included in each section.

► Table 1. Key insights and relevant policy responses

Key insights	Policy responses
1. Automation vs. Augmentation: Automation occurs when technology performs certain tasks of an occupation, whereas augmentation happens when technology improves human capabilities without replacing them.	Invest in AI-complementary skills development
2. The impact of AI on employment varies across countries and occupations: in low-income countries, a relatively small proportion of their workforce is exposed, whereas high-income countries have a substantially larger share that may be affected.	Invest in accessible digital infrastructure
	Promote technology transfer and absorption across the globe
3. To date, the effect of AI on overall employment levels remains limited: firms are adjusting through hiring freezes and voluntary attrition, rather than layoffs.	Establish comprehensive education and training pathways
4. With the aid of AI, middle-skilled workers could take on more complex tasks, thereby closing skill gaps and improving overall productivity and job quality.	Create upskilling and reskilling programs
	Develop AI literacy and awareness
5. Opportunities vs. risks: The impact of AI on work and job security, especially for most-exposed workers, will depend heavily on the policies adopted	Regulate AI usage and support occupational integration
6. Impacts on Occupations: Jobs with high exposure and low complementarity face a higher risk of task automation, potentially reducing employment, lowering wages, and increasing displacement.	Create and strengthen Social Protection measures
	Develop occupation-tailored actions
	Support occupation-based AI innovation
7. Regional AI effect: The degree to which occupations are affected by AI also varies by region, based on workers' adaptability and the infrastructure available for AI deployment.	Foster data-driven decision making
	Create industry partnerships within regions
8. AI gender effect: AI impacts more women's jobs due to their over-representation in clerical and administrative roles, which are among the most susceptible to technological displacement. However, they are also generally better positioned to benefit from it, because women also hold a higher proportion of jobs with strong augmentation potential.	Upskill and reskill women across occupations
	Support women in AI-augmenting fields
	Provide career transition support
9. Accessibility is key: whether women and other affected groups can truly benefit from the augmentation potential of AI will depend on their ability to access the tools, training, and infrastructure needed to adapt.	Design digital inclusion initiatives
	Develop AI ethics framework
	Conduct continuous monitoring and evaluation
10. AI is fundamentally disrupting skills systems: by accelerating the pace at which knowledge becomes obsolete and creating demand for new hybrid skillsets the current education systems are struggling to keep up	Equal access to training for all groups
	Empower educators and learners
11. The potential for discrimination in AI-based decision making has raised ethical concerns across the public.	Establish participatory AI governance frameworks
	Develop strategies to promote public trust
12. The AI divide threatens to leave developing countries behind: these countries might struggle to keep up with the rapid pace of AI adoption	Establish global AI initiatives

13. The impact of AI on inequality will depend on the degree of exposure to, and complementarity with, AI and its boost to productivity	Invest in human-complementary AI
	Widespread AI diffusion
14. AI systems can exacerbate workplace inequalities: AI systems increasingly track worker behaviour evaluate performance, and allocate tasks, often intensifying workloads and reducing recovery time.	Design worker-centred AI and ensure equity in treatment of workers
	Regularly audit algorithms
15. AI offers significant potential to improve workplace safety: by removing workers from hazardous environments, automating high-risk tasks, and enabling predictive risk monitoring	Automate high-risk tasks
	Invest in AI-powered predictive risk monitoring
	Invest in AI-powered labor inspection tools

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